VIOLA CREDIT

QUARTERLY MANAGEMENT REPORT
AS OF JUNE 30TH

2024

Viola Credit Alternative Lending Income Fund III

VIOLA CREDIT ALF III (B)

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DEAR VIOLA CREDIT INVESTOR,

We are thrilled to present the first quarterly report for Viola Credit Alternative Lending Income Fund III (ALF III), covering the period up to June 30, 2024. This occasion is also marked by our proud announcement of officially launching ALF III with a $600M first close of committed and investable capital, including separately managed accounts investing alongside the Fund. The fund targets $1.5B of investable capital by the final close. We take this opportunity to extend our deepest gratitude to both our longstanding and new investors for placing their trust in our latest fund. Your support is deeply valued by our entire team.

We are excited to introduce the first six portfolio companies of ALF III: Payzen, Two, Funding Circle, Lendbuzz, Viably, and Hokodo. These recent additions encompass six dynamic FinTech platforms, including transactions with two existing portfolio companies. The transactions are distributed across the United States, United Kingdom, and Norway. These transactions were finalized following a highly competitive process, setting a strong foundation for the ALF III portfolio. As of the end of Q2 2024, the fund has utilized 15% of investors' committed capital. For detailed insights into these transactions, please refer to slides 8-11 in the report.

The Fund started with a robust pipeline of qualified transactions. During the quarter, our investment team evaluated 66 new transactions with a total volume of $1.6 billion. This robust deal flow ensures a highly selective investment approval process. Our pipeline was weighted towards growth and mature-stage transactions, with an average opportunity size of $28 million mainly across the United States, United Kingdom, and Germany. Since the inception of ALF III in the first quarter of 2024, the total number of opportunities reviewed was 132, with an overall transaction volume of $3.6 billion.

In the FinTech market, fundraising was regionally bifurcated in Q2 2024. Venture investments in US-based FinTech companies increased by 45% from the prior quarter, growing to $4.8 billion. In contrast, Europe experienced a decrease, dropping to $1.9 billion in new investment from $2.2 billion in Q1 2024.

From a macro perspective, central banks held interest rates steady during Q2 with the prospect of near-term cuts given stabilizing inflation and a strong labor market. We believe a return to dovish policy would positively influence our FinTech lending partners. Consumer credit performance has shown signs of improvement in the first half of the year, with the impairment rate appearing to stabilize from late 2023. Meanwhile, the SMB credit sector in the US has experienced an increase in delinquency and default rates this year, with the potential for these to surpass data observed during the COVID-19 peak. These increases fall well within our modeled scenarios.

We are excited to capitalize on the opportunity set available to ALF III in the tech-enabled asset-based lending market and look forward to building a successful partnership with our investors.

Sincerely,

Viola Credit Management Team

FUND HIGHLIGHTS

Due to the recent launch of the fund, this quarter's report does not include financial highlights. We will provide a detailed update in the next quarterly report with Q3 numbers.

Q2 2024 DEAL FLOW SUMMARY

In the latest quarter, the Fund evaluated 66 opportunities, which corresponded to a transaction volume of $1.6B. This period has seen consistent activity, ensuring a steady pipeline of high-quality opportunities as the Fund maintains a strong focus on growth and mature-stage originators that require larger debt facilities. The average opportunity size was $28M, with most opportunities coming from United States, United Kingdom, and Germany.
Since ALF III's inception (Q1 2024), the Fund has reviewed 132 opportunities, culminating in a total transaction volume of $3.6 billion.

The Fund's portfolio includes 6 active transactions from the United States, Norway, and the United Kingdom.

Q2 '24	**66** Opportunities Evaluated	**$1.6B** Transaction Volume
Since 01.01.2024	**132** Opportunities Evaluated	**$3.6B** Transaction volume
Portfolio	**6** Active Platforms	**6** Active Transactions

TEAM UPDATE

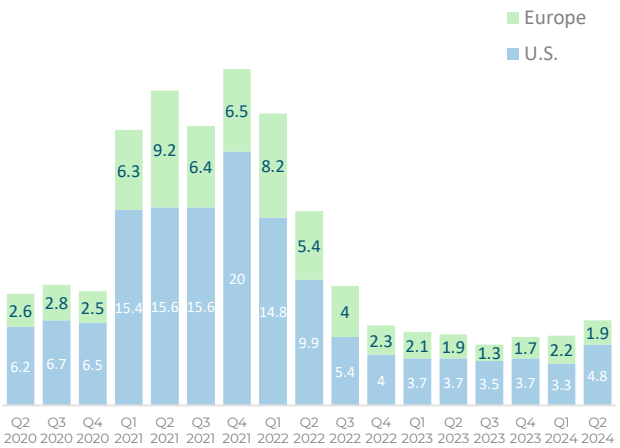
In the second quarter of 2024, Viola Credit welcomed 1 new team member who will join the Viola Credit EU office in London. We are pleased to announce the addition of Naman Rastogi as Investment Manager. Naman will join Neha Mittal, our VP of Europe, after several years of experience in asset-based lending and structured debt and will focus on sourcing new investment opportunities and scaling our deal flow across Europe.

Naman Rastogi
Investment Manager

Q2 2024 FINTECH INSIGHTS

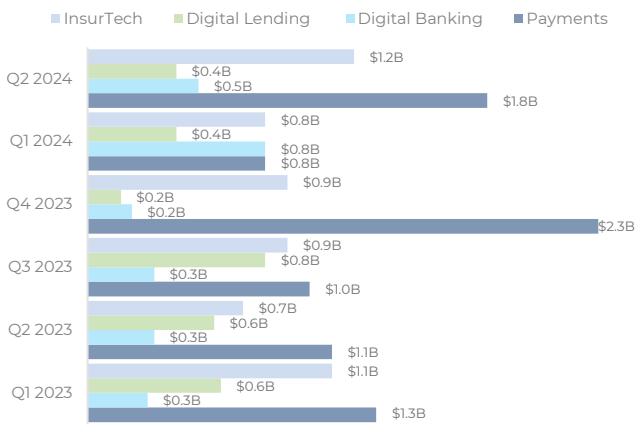
In the second quarter of 2024, the fintech sector demonstrated mixed performance in the Western European and U.S. markets. While the U.S. saw an uptick in venture capital investments, Europe experienced a slight decline. Specifically, fintech venture investments in the U.S. increased to $4.8 billion, a 45% growth from the previous quarter's $3.3 billion. In contrast, Europe saw a decrease in funding, dropping to $1.9 billion from $2.2 billion in Q1 2024. This divergence highlights the varied economic conditions and investor confidence across these regions.

FinTech Venture Investment by Geo ($B)



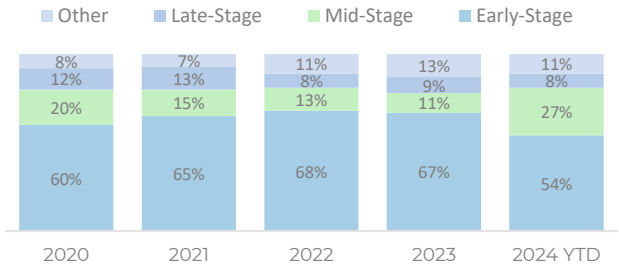
The payments sector rebounded significantly in Q2 2024, with total investments reaching $1.8 billion, more than doubling from $800 million in Q1 2024. This surge reflects a strategic consolidation phase as the sector stabilizes and prepares for future growth. Digital Banking, however, experienced a decrease in investment, dropping from $800 million in Q1 2024 to $500 million in Q2 2024, indicating a more cautious approach from investors despite ongoing technological innovations.

Investments by Verticals in Europe and U.S.



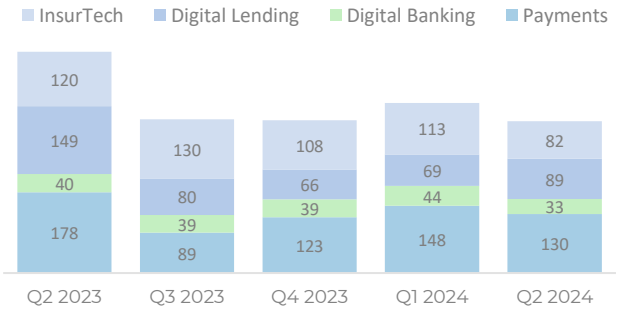
Digital Lending saw a stabilization in funding, maintaining a consistent level of $400 million from the previous quarter. The mid-stage proportion of total investments in fintech lending increased to 27% of total new funds, growing from 11% in 2023. This shift indicates a growing confidence in more established fintech lending companies as they move toward scaling and maturity.

Amount of Funding Rounds by Verticals



The overall number of funding rounds across different fintech verticals saw a decline in Q2 2024. Payments, for instance, decreased from 148 rounds in Q1 2024 to 130 rounds in Q2 2024. Similarly, Digital Banking funding rounds dropped from 44 to 33, and InsurTech rounds fell from 113 to 82. Digital Lending, however, saw a slight increase in funding rounds, rising from 69 in Q1 2024 to 89 in Q2 2024. This trend indicates a selective yet strategic investment approach by venture capitalists, focusing on sectors with immediate growth potential and stability.

Amount of Funding Rounds by Verticals

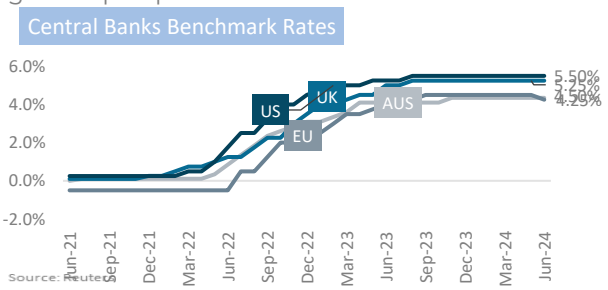


As we progress through 2024, the fintech sector in Western Europe and the U.S. is expected to continue its trajectory of strategic growth and innovation. The emphasis will likely remain on payments consolidation, leveraging AI technologies, and prioritizing enterprise solutions to enhance financial ecosystems. Despite the fluctuations in funding and deal volumes, the sector remains poised to capitalize on emerging opportunities and navigate the evolving economic landscape with resilience and adaptability.

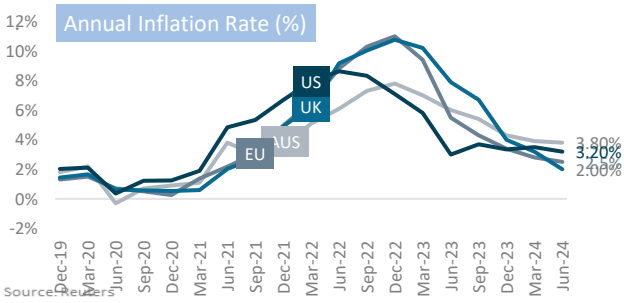
Sources: Viola Credit Data, CB Insight State of Fintech Q2 2024, FT Partners Q2 Report

ECONOMICAL ENVIRONMENT

In Q2 2024, most monetary authorities in developed markets upheld high interest rates to combat inflation, significantly shaping the economic landscape for the second half of the year. The Federal Reserve maintained a 5.25% rate, balancing inflation control with economic growth. Similarly, the ECB and BoE kept rates high at 4.0% and 5.0%, respectively. In light of signals of optimism, such as stabilizing inflation and a still strong labor market, future central bank decisions will be crucial in managing inflation and supporting economic recovery, impacting global economic conditions and growth prospects

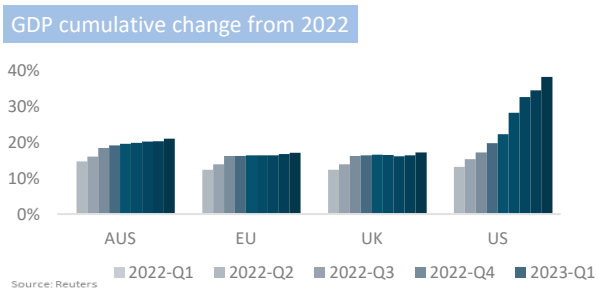


Inflation has continued to show signs of easing globally. In the US, the inflation rate decreased from 4.1% in April 2024 to 3.7% by June 2024. Similarly, the EU and Australia also experienced reductions in inflation rates during the second quarter. In the UK, inflation even met the Bank of England's target of 2%. However, this decline is expected to be temporary, with projections indicating a rise in inflation in the third and fourth quarters of 2024. Despite these improvements, most economies have not yet reached their central banks' targets for inflation

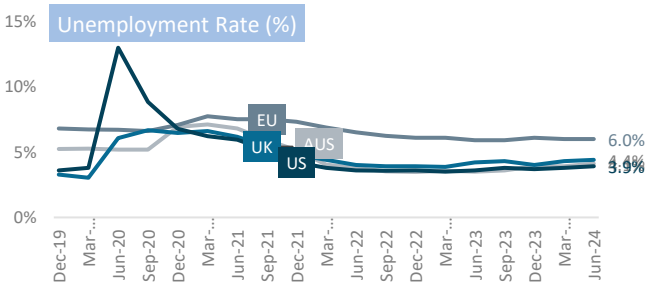


Meanwhile, economic growth has varied significantly among major economies. In the second quarter of 2024, the U.S. real Gross Domestic Product (GDP) increased at an annualized rate of 2.8%, a substantial improvement from the 1.4% growth in the first quarter. In contrast, the UK's GDP grew by just 0.2% during the same period, following a 0.7% growth in the first quarter, with the economy showing no growth in April.

Similarly, the Eurozone's GDP increased by 0.3% compared to the previous quarter, indicating a more modest economic performance across the region. In Australia, GDP is expected to be 0.3%, showing a steady but moderate expansion compared to other major economies. These differences highlight the stronger economic recovery in the U.S. compared to the more tepid growth observed in the UK, Eurozone, and Australia.



The labor market also displayed varied trends across these regions. In the U.S., the unemployment rate remained stable at around 3.6%, reflecting a tight labor market with strong job creation and wage growth. In the UK, the unemployment rate edged up slightly to 4.2%, suggesting a softening labor market. The Eurozone saw a mixed picture, with overall unemployment decreasing slightly to 6.5%, but significant disparities persisted among member states, with countries like Spain and Greece experiencing higher unemployment rates. In Australia, the labor market remained resilient, with the unemployment rate steady at 3.9%, supported by robust employment growth in sectors such as healthcare and construction..

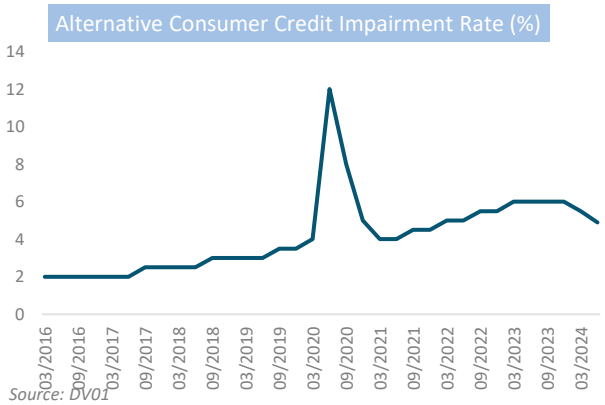


Looking ahead, economic growth in developed markets will likely continue to be constrained by the need to balance monetary tightening with financial stability. Central banks are expected to carefully manage anti-inflation measures to avoid stifling growth by reducing consumption and increasing unemployment

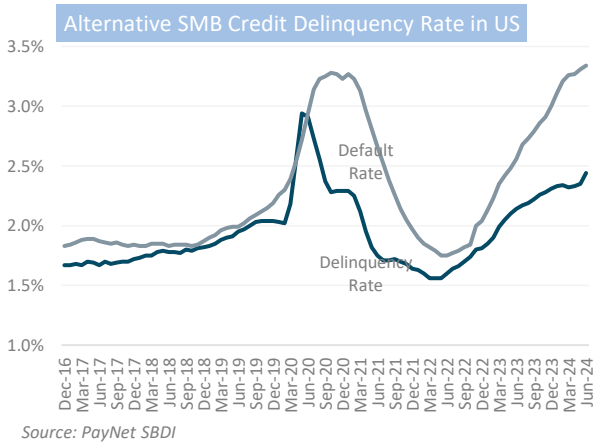
Viola Credit specializes in credit investments backed by short-duration, self-amortizing assets. This strategic emphasis on business credit assets has historically offered protection during economic downturns.

ALTERNATIVE LENDING MARKET

In the first half of 2024, the Alternative Consumer Credit market has shown promising signs of improvement, with the impairment rate stabilizing just below 4%. This stabilization might indicate a positive trend and a potential turnaround in the consumer credit landscape. This improvement is largely due to tighter underwriting standards and lower credit volumes in the recent years, which have helped mitigate risks and improve credit quality. However, due to the uncertainty and volatility, it is still early to determine if this trend will sustain in the long term

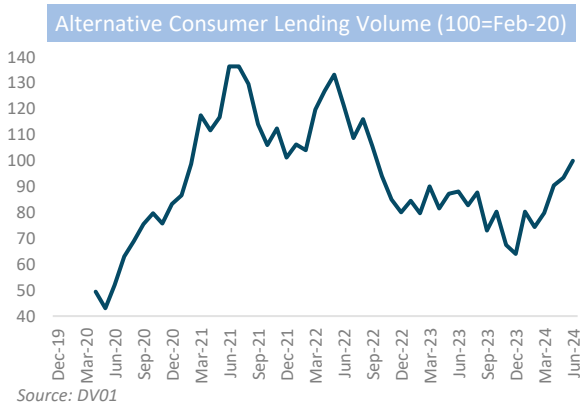


While consumer credit shows signs of improvement, and despite some optimism at the end of 2023, the alternative SMB credit delinquency rate in the US has steadily increased in 2024, reaching approximately 2.8% by June. Similarly, the default rate has also climbed to around 3.1% by June 2024, exceeding the COVID-19 peak in 2020.

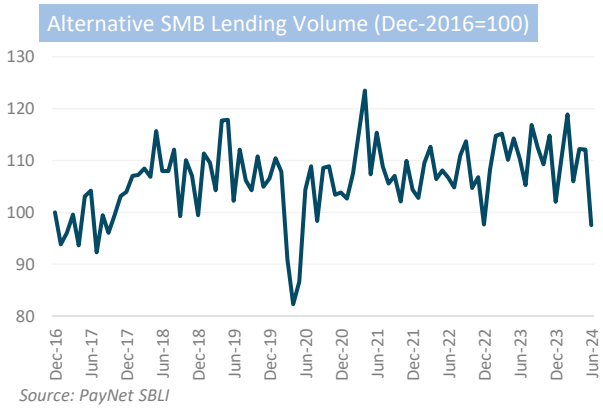


This disparity between consumer credit and SMB credit can be attributed to stronger consumer demand and lower risk exposure in consumer credit, while SMBs face higher economic pressures and operational challenges, leading to increased defaults and delinquencies.

Reflecting the performance improvement, Alternative Consumer Lending Volume has consistently increased in the second quarter of 2024. This steady growth might indicate a recovery and renewed confidence in the consumer lending market. Compared to the end of 2023, where volumes remained relatively flat, the recent uptick suggests the market is gaining momentum after a period of stagnation. This positive trend points to a potentially more stable and optimistic outlook for the remainder of the year.



Conversely, in the SMB credit market, which has experienced rising delinquency and default rates, Alternative SMB Lending Volume has shown notable changes in 2024. The plot highlights some fluctuations throughout the year. As of June 2024, the lending volume has decreased again, suggesting a potential contraction in lending activity.



In the evolving credit environment, the current market conditions present a key moment for specialized lenders with robust risk management capabilities.. Our fund is capitalizing on this period by applying our expertise to back best in class platforms.

ACTIVE TRANSACTIONS

	Comapny	Type	Asset Class	Status	Amount *	Interest**	Warrants
1	Payzen	Senior	Healthcare Receivables	Active	$75M	S + 6.5%	Yes
2	Two	Senior	B2B Payments	Active	€30M	E + 7.7%	Yes
3	Lendbuzz	Forward Flow	Consumer Auto	Active	$200M	i-curve + 5.25%	No
4	Hokodo	Senior	B2B Payments	Active	€25M	E / SO + 7.75%	No
5	Funding Circle	Forward Flow	SME Loans	Active	£50M	SO + 5.75%	No
6	Viably	Senior	SME RBF	Active	$10M	S + 9.5%	Yes

* Transactions allocated among ALF III funds
** SO=SONIA, S=SOFR, E=ESTR

NEW TRANSACTIONS

PayZen | **PayZen is a growth stage FinTech platform that allows healthcare institutions to provide interest free installment plans for unpaid medical bills**

$75M senior secured ABL credit facility to finance a granular portfolio of consumer healthcare installment plans in the U.S.

Transaction Details	
Collateral/ Assets	Consumer Healthcare Installment Plans
Geography	United States
Type	Senor Secured Warehouse Line
Amount	75M USD
Capacity Rights	Up to 200M USD
Advance Rate	90-95%
Interest Rate	SOFR + 6.5%
Facility Term	36 months
Warrants	Yes

two. | **Two is a growth stage FinTech platform, offering B2B payments solutions across UK, Norway and Sweden**

€30M senior secured ABL credit facility to finance short duration B2B trade financing receivables across Western Europe

Transaction Details	
Collateral/ Assets	B2B Factored Invoices
Geography	UK, Norway and Sweden
Type	Senor Secured Warehouse Line
Amount	30M EUR
Capacity Rights	Up to 250M EUR
Advance Rate	85%
Interest Rate	ESTR + 7.7%
Facility Term	36 months
Warrants	Yes

NEW TRANSACTIONS

viably

Viably is an early-stage end-to-end banking platform that provides business management tools and working capital solutions to e-commerce merchants

$10M senior secured ABL credit facility to fund e-commerce growth through revenue-based financing advances

Transaction Details	
Collateral/ Assets	SME Receivables
Geography	United States
Type	Senor Secured Warehouse Line
Amount	10M USD
Capacity Rights	Up to 100M USD
Advance Rate	85%
Interest Rate	SOFR + 9.50%
Facility Term	24 months
Warrants	Yes

HOKODO

Hokodo is a B2B BNPL provider that offers a full-stack payments and net terms financing solutions for business buyers

€25M senior secured ABL credit facility to finance B2B BNPL receivables across Western Europe

Transaction Details	
Collateral/ Assets	B2B BNPL Receivables
Geography	Western Europe
Type	Senor Secured Warehouse Line
Amount	25M EUR
Capacity Rights	Up to 100M EUR
Advance Rate	92.5%
Interest Rate	ESTR/ SONIA + 7.75%
Facility Term	24 months
Warrants	No

NEW TRANSACTIONS

Lendbuzz is an AI-based FinTech lender, offering secured auto financing to thin-file borrowers—a lucrative underserved population ignored by the traditional U.S. credit system.

$200M Forward Flow Program to finance secured auto loans to "thin-file" borrowers in the U.S

Transaction Details

Assets / Collateral	Secured Auto Loans
Geography	United States
Type	Forward Flow
Flow Amount	$200M
Type	Forward Flow
Currency	USD ("$")
Unlevered Net Yield	i-curve + 5.25%
Revolving Period	12 months
Warrants	No

Funding Circle (LON:FCH) is UK's leading SME lending platform and is publicly traded on the London Stock Exchange

£50M Forward Flow Program to finance SME Loans in the United Kingdom

Transaction Details

Assets / Collateral	UK SME Loans
Geography	U.K
Type	Forward Flow
Flow Amount	50M GBP
Type	Forward Flow
Currency	GBP ("£")
Unlevered Net Yield	SONIA + 5.75%
Revolving Period	12 months
Warrants	No

CAPITAL CALLS

Due date	Sum in $	Percentage	Accumulated sum in $	Accumulated percentage
April 2024	9,594,905	15.00%	9,594,905	15%

CAPITAL DISTRIBUTIONS (IN $)

Date	Principal distribution	Capital gain distribution	Interest distribution	Tax distribution	Total

WARRANTS & EQUITY RIGHTS

As of June 30th, 2024

Warrants

COMPANY	# OF WARRANTS	EXERCISE PRICE ($ Per Unit)	FAIR MARKET VALUE ($ Per Unit)	ASSET VALUE ($)
Viably	1,852,946	0.43	0.32	587,323
Two	764	457.39	260.7	199,083
PayZen	42,343	2.05	2.4	102,082

PORTFOLIO SUMMARY

As of June 30th, 2024

Borrower Name	Close Date*	Alf III (B) Allocation Amount	Alf III (B) Drawn Amount (Utilized)
Hokodo	Mar-24	€ 20,000,000	€ 8,283,775
Viably	Oct-23	$ 8,000,000	$ 1,925,257
PayZen	Jun-24	$ 3,683,728	$2,376,240
Two	Nov-23	€ 16,800,000	€ 5,363, 708
Lendbuzz 2024-2 Forward Flow	Mar-24	$ 16,000,000	-
Funding Circle Forward Flow	Mar-24	£ 7,040,000	£ 726,000

* Transactions executed and warehoused prior to the first close of ALF III and allocated upon initial closing.

Viola Credit ALF III (B)

Combined Interim Financial Statements
as of
June 30, 2024
(Unaudited)

Combined Financial Statements as of June 30, 2024

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Auditors' Report to the Partners of Viola Credit ALF III (B)

Results of Review of Combined Interim Financial Information

We have reviewed the accompanying combined financial information of Viola Credit ALF III (B) ("the Fund") comprising of the interim statement of Assets, Liabilities and Partners' Capital including the schedule of investments, as of June 30, 2024, the interim statement of operations, changes in Partners' Capital and statement of Cash Flows for the period from April 18, 2024 (commencement of operations) through June 30, 2024. These financial statements are the responsibility of the Fund's management.

We conducted our review in accordance with standards established by the American Institute of Certified Public Accountants. A review of interim financial information consists principally of applying analytical procedures to financial data and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards, the objective of which is the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying combined financial information in order for them to be in conformity with generally accepted accounting principles in the United States of America.

Somekh Chaikin
Certified Public Accountants (Isr.)
Member Firm of KPMG International

August 29, 2024

Combined Statement of Assets, Liabilities and Partners' Capital

U.S dollars in thousands

	Note	June 30, 2024 Unaudited
Assets		
Portfolio investments at estimated fair value (Cost as of June 30, 2024 - $20,745)	4	**20,719**
Cash and cash equivalents		**112**
Account receivables		**215**
Related parties		**826**
Total assets		**21,872**
Liabilities and partners' capital		
Current liabilities		
Credit Line		**11,090**
Accounts payable		**185**
Total current liabilities		**11,275**
Long-term liabilities		
Deferred revenue		**830**
Total liabilities		**12,105**
Partners' capital		
Capital contribution		**9,595**
Accumulated gain from operations		**172**
Total partners' capital		**9,767**
Total liabilities and partners' capital		**21,872**

29.08.2024

Date of approval of the financial statements

Viola Credit ALF III GP, L.P.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Schedule of Investments

U.S dollars in thousands

	June 30, 2024		
	Cost	**Estimated fair value**	**% of partners capital**
		Unaudited	
Viably Capital Inc.			
Utilized credit facility in the amount of $1,925	1,925	1,925	19.71
Warrant to purchase 1,852,946 Preferred A-2 Shares of Viably Capital Inc.	607	587	6.01
Two AS, LLC			
Utilized credit facility in the amount of €5,364 ($5,795)	5,795	5,736	58.73
Warrant to purchase 764 Preferred A Shares of TWO AS, LLC	214	199	2.04
PayZen Inc.			
Utilized credit facility in the amount of $2,376	2,376	2,376	24.33
Warrant to purchase 42,343 Preferred A-2 Shares of PayZen Inc.	66	102	1.04
Hokodo Ltd.			
Utilized credit facility in the amount of £1,448 ($1,813)	1,813	1,830	18.74
Utilized credit facility in the amount of €6,573 ($7,015)	7,015	7,030	71.98
Viola Credit (FC) 2024-I, L.P.	934	934	9.56
The Fund portion is 44%			
Total	20,745	20,719	212.14
Total loans	18,924	18,897	193.49
Total warrants	887	888	9.09
Total investments through SPVs	934	934	9.56
Total	20,745	20,719	212.14

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Income

U.S dollars in thousands

	Note	Period from April 18, 2024 (*) through June 30, 2024 (Unaudited)
Revenues		
Portfolio financial income		**344**
Recognition of deferred revenue		**57**
		401
Expenses		
Management fees	**3c**	**32**
General, administrative and other expenses		**14**
Financial expenses		**157**
		203
Operating income		**198**
Change in unrealized loss from exchange rate differences		**(27)**
Change in unrealized gain from impairment of investments	**5**	**1**
Net gain		**172**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Changes in Partners' Capital

U.S dollars in thousands

	General Partner	Limited Partners	Total
Capital Contributions			
Balance as of April 18, 2024 (*)	-	-	-
Capital contribution	-	**9,595**	**9,595**
Balance as of June 30, 2024 (Unaudited)	-	**9,595**	**9,595**
Accumulated gain from operations:			
Balance as of April 18, 2024 (*)	-	-	-
Operating income	-	**198**	**198**
Change in unrealized loss from exchange rate differences		**(27)**	**(27)**
Change in unrealized gain from impairment of investments	-	**1**	**1**
Balance as of June 30, 2024 (Unaudited)	-	**172**	**172**
Total partners' capital as of June 30, 2024 (Unaudited)	-	**9,767**	**9,767**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Cash Flows

U.S dollars in thousands

	Period from April 18, 2024 (*) through June 30, 2024
	Unaudited
Cash flows from operating activities:	
Net gain	**172**
Adjustments to reconcile net gain to net cash used in operating activities:	
Recognition of deferred revenue	**(57)**
Changes in accounts receivables mainly in respect of interest income	**(215)**
Credit facilities drawdowns	**(19,349)**
Repayment of credit facilities	**425**
Change in unrealized loss from exchange rate differences	**27**
Change in unrealized gain on investment	**(1)**
Investments in SPV	**(934)**
Changes in related parties	**(826)**
Changes in accounts payable	**185**
Net cash used in operating activities	**(20,573)**
Cash flows from financing activities:	
Subscription line utilized	**13,700**
Subscription line repaid	**(2,610)**
Capital contribution	**9,595**
Net cash provided by financing activities	**20,685**
Change in cash and cash equivalents	**112**
Cash and cash equivalents at the beginning of the period	**-**
Cash and cash equivalents at the end of the period	**112**
Non-cash investing information:	
Warrants received in respect of credit lines granted	**887**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Note 1 -General

A. Viola Credit ALF III (B) (the "Fund") was formed by Viola Credit ALF III GP, L.P. (the "General Partner") on April 11, 2024 and commenced its operations on April 18, 2024. The Fund and additional entities managed by the General Partner or its affiliates are referred to herein as "Viola Credit". Certain transactions made by Viola Credit prior to the commencement of operations were allocated to the Fund.

B. The Fund is composed of the following limited partnerships (the "Feeders"), as specified below:

- Viola Credit ALF III (2), L.P.
- Viola Credit ALF III (3), L.P.
- Viola Credit ALF III (4), L.P.
- VCP Investments, L.P.

C. Investment Policy and Limitations:

The Fund is being organized to invest in opportunities in the specialty lending market, primarily by providing asset-backed, senior-secured debt facilities to finance assets originated by technology companies operating in the specialty finance market with the goal of generating significant current income and capital gains. These facilities are typically backed by cash yielding assets and/or real assets originated by such companies, including, but not limited to, consumer loans, auto-loans, small and medium enterprise loans, corporate trade receivables, lease contracts, real-estate and mortgages. Platforms are expected to mainly operate in developed markets, including North America, Western Europe, the United Kingdom, Australia, and New Zealand.

The Fund may also invest in, and purchase assets originated by origination platforms either directly or indirectly through structures formed by it or by other funding partners.

Such investments are referred to herein as "Portfolio Investments" and such technology companies are referred to collectively as "Originating Platforms".

Portfolio Investments will be primarily senior secured, but may also be subordinated in nature, including second lien, and mezzanine loans.

Such asset-based secured financings shall be provided in return for principal and interest payments and will also include, from time to time, return-enhancing features such as warrants to purchase an equity stake in Originating Platforms (or their affiliates) or limited investment rights to invest in the equity of the applicable Originating Platforms (or their affiliates) (such investments are referred to herein as "Equity Kickers").

The Fund will aim to receive Equity Kickers in selected Originating Platforms and may invest up to 10% of its aggregate capital commitments in Equity Kickers (by the exercise of warrants, and also by convertibles and/or through direct investment).

Note 1 -General (cont'd)

D. Duration of the Fund:

The term of the Fund is seven years from the Final Closing Date. The term of the Fund may be extended for two additional one-year periods, at the sole discretion of the General Partner and for a third one-year period at the sole discretion of the Advisory Committee, as defined in the LPA.

E. Definitions:

Partners -	The General Partner and the limited partners.
General Partner -	Viola Credit ALF III GP, L.P.
LPA -	Limited Partnership Agreement adopted as of the Initial Closing.
Management Partnership -	Viola Credit Partners Management, L.P.
SPV (FC) -	Viola Credit (FC) 2024-I, L.P., a special purpose vehicle formed in connection with the investment of the Fund and certain co-lenders affiliates in Funding Circle Ltd.

Note 2 - Significant Accounting Policies

The accompanying financial statements are presented using accounting principles generally accepted in the United States ("U.S. GAAP").

Combined Interim financial information:

The accounting principles used in the preparation of the interim information are consistent with those principles used in the preparation of the annual statements; In the opinion of the General Partner, all adjustments (which include only normally recurring adjustments) necessary to present the financial condition, results of operations, and cash flows at and for the period ending June 30, 2024 have been made. The results of operations for the period ended June 30, 2024 are not necessarily indicative of the operating results for the year ending December 31, 2024.

Note 3 - Limited Partnership Agreement

The information below highlights certain terms from the amended and restated limited partnership agreement of the Fund ("LPA") from April 11, 2024. The full and comprehensive terms of the Fund can be found in the LPA.

A. Allocations of income, net gain or loss:

All allocations of income, gain, loss, deduction and items thereof shall be made as follow:

1. Any remaining Net Gain or Net Loss of the Partnership for any fiscal period shall be allocated among the Partners in such proportions and in such amounts as may be necessary so that following such allocations, the Adjusted Capital Account balance of each Partner equals such Partner's then Target Balance as defined in the LPA.

2. If the amount of Net Gain or Net Losses allocable to the Partners for a period is insufficient to allow the Adjusted Capital Account balance of each Partner to equal such Partner's Target Balance, such Net Gain or Net Losses shall be allocated among the Partners in such a manner as to decrease the differences between the Partners' respective Adjusted Capital Account balances and their respective Target Balances in proportion to such differences.

3. The General Partner shall, to the greatest extent possible, allocate specific items of income, gain, loss or expense to the Partner or Partners intended to receive the benefit or bear the burden of such items under the LPA, as determined by the General Partner.

B. Distributions:

Distribution shall be allocated to all Partners, in proportion to their respective contributions, subject to the discretion of the General Partner, as follows:

1. First, 100% to each Limited partner until the cumulative amount distributed to such Limited Partner is equal to such Limited Partner's contributions;

2. Second, 100% shall be distributed to each Limited Partner until such Limited Partner shall have realized, solely in respect of its funded contributions, an internal rate of return of 7% per annum, compounded annually on such Limited Partner's unreturned contribution amount;

3. Third, 100% shall be distributed to the General Partner until the General Partner shall have received with respect to each Partner an amount equal to 15% of the sum of the (a) aggregate amount distributed to such Partner pursuant to section (2) above, and (b) the aggregate amount distributed to the General Partner pursuant to this section (3); and

4. Thereafter, 85% to Limited Partners and 15% to the General Partner.

Note 3 - Limited Partnership Agreement (cont'd)

C. Management Fees:

According to the LPA, the Fund shall pay the General Partner, or the Management Partnership, a management fee (the "Management Fee") for the investment advice to be provided to the Fund, commencing upon the Initial Closing Date, at a rate equal to 1.5% per annum of the Invested Capital. "Invested Capital" shall mean an amount equal to the aggregate Contributions less amounts distributed to the Partners (other than distributions of interest, profits or gains), and less the cost basis of investments which were written off.

Note 4 - Portfolio Investments

Investments signed prior to the Fund's commencement of operations were warehoused and allocated to the Fund upon first closing.

A. **Viably Capital Inc. ("Viably")**

In October 2023, Viola Credit signed a finance agreement with Viably pursuant to which a revolving credit facility of $10,000 was made available to Viably (out of which, the Fund share is $8,000). Viola Credit was also granted future capacity rights of up to $50,000.

At the closing, Viably granted to the Fund a warrant to purchase 1,852,946 A-2 shares with exercise period of 9 years at an exercise amount of $791.

B. **Two AS, LLC ("Two")**

In September 2023, Viola Credit signed a finance agreement with Two, pursuant to which a revolving credit facility of €30,000 was made available to Two (out of which, the Fund share is €16,800). Viola Credit was also granted future capacity rights of up to € 150,000.

At the closing Two granted to the Fund a warrant to purchase 764 A Preferred shares with exercise period of 5 years at an exercise amount of $ 499.

C. **PayZen Inc. ("PayZen")**

In June 2024, Viola Credit signed a finance agreement with PayZen pursuant to which a revolving credit facility of $75,000 was made available to PayZen (out of which, the Fund share is $3,684). Viola Credit was also granted future capacity rights of up to $ 200,000.

At the closing, PayZen granted to the Fund a warrant to purchase 42,343 A-2 shares with exercise period of 9 years at an exercise amount of $87.

Note 4 - Portfolio Investments (cont'd)

D. Hokodo Ltd. ("Hokodo")

In March 2024, Viola Credit signed a finance agreement with Hokodo pursuant to which revolving credit facility of € 25,000 was made available to Hokodo (out of which, the Fund share is €20,000). was made available to the company. Viola Credit was also granted future capacity rights of up to € 100,000.

According to the agreement, Hokodo can draw amounts both in EUR and GBP.

E. Viola Credit (FC) 2024-I, L.P. ("SPV (FC)")

SPV (FC) is a special purpose vehicle, formed pursuant to an agreement between the Fund and a group of investors, for the sake of purchasing up to £50 million of loan receivables from Funding Circle Ltd. ("Funding Circle") as seller and servicer.

In May 2024, the SPV (FC) signed an initial loan receivables purchase agreement with Funding Circle for a total amount of £50 million. The total transaction amount with Funding Circle is £200 million, including £150 million from Deutsche bank AG.

As of June 30, 2024, the Fund holds 44% of the SPV (FC) (£7,040).

As of June 30, 2024, the Fund transferred to SPV (FC) a capital contribution in the amount of £726 ($ 934). Therefore, the net invested amount is $ 934.

F. Fair value measurements

The Fund adopted ASC Topic 820, which among other things, requires enhanced disclosures about investments that are measured and reported at fair value. ASC Topic 820 establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is impacted by a number of factors, including the type of investment and the characteristics specific to the investment. Investments with readily available active quoted prices or for which fair value can be measured from actively quoted prices generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.
Investments measured and reported at fair value are classified and disclosed in one of the following categories:

Level I – Quoted prices are available in active markets for identical investments as of the reporting date. The type of investments included in Level I include listed equities. As required by ASC Topic 820, the Fund does not adjust the quoted price for these investments, even in situations where the Fund holds a large position and a sale could reasonably impact the quoted price.

Level II – Pricing inputs are other than quoted prices in active markets, which are either directly or indirectly observable as of the reporting date, and fair value is determined through the use of models or other valuation methodologies. Investments which are generally included in this

Note 4 - Portfolio Investments (cont'd)

category include corporate bonds and loans, less liquid and restricted equity securities and certain over-the-counter derivatives.

Level III – Pricing inputs are unobservable for the investment and includes situations where there is little, if any, market activity for the investment. The inputs into the determination of fair value require significant management judgment or estimation. Investments that are included in this category generally include general and limited Fund interests in a corporate private equity.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Fund's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

The following table summarizes the Fund`s portfolio investments that were accounted for at fair value by Level 3 within the fair value hierarchy of ASC 820:

	Level 3
	USD thousands
Fair value as of April 18, 2024 (*)	**-**
Warrants received in respect of credit lines granted	**887**
Credit facilities drawdowns	**19,349**
Repayment of credit facilities	**(425)**
Investments in SPV, net	**934**
Change in unrealized loss from exchange rate differences	**(27)**
Change in unrealized gain on investment	**1**
Fair value as of June 30, 2024 (unaudited)	**20,719**

As of June 30, 2024, the Fund's portfolio investments do not include any investments that can be accounted for at fair value by Level 1 or Level 2 within the fair value hierarchy of ASC 820.

(*) Date of Commencement of operations.

Note 4 - Portfolio Investments (cont'd)

G. Active Credit facility

Company	Credit facility	Utilized net amount	Interest rate
Viably	$ 8,000	$ 1,925	Annual interest rate equal to SOFR + 9.5% with minimum rate of 12%
Two	€ 16,800	€ 5,364	Annual interest rate equal to €STR + 7.7%
PayZen	$ 3,864	$ 2,376	Annual interest rate equal to SOFR + 6.5% with minimum rate of 9.5%
Hokodo		£ 1,448	Annual interest rate equal to SONIA + 7.75% with minimum rate of 9.75%
	€ 20,000		
Hokodo		€ 6,573	Annual interest rate equal to EURIBOR + 7.75% with minimum rate of 9.75%

H. Indirect facility through SPV's *):

Company	Credit facility	Utilized net amount	Interest rate
Funding Circle (though SPV (FC))	£7,040	£ 726	Annual interest rate ranging between 9%-10%

*) Multiplied by the fund portion.

I. Foreign currency exposure:

	GBP	EUR
Foreign exchange rate 30/06/2024	1.264	1.069

Currencies exposure:

	USD	GBP	EUR
Portfolio investments	4,301	2,174	11,937

Note 5 - Unrealized Gain (Loss) from Investments

	Period from April 14, 2024 (*) through June 30, 2024
	Unaudited
Viably	(20)
Two	(15)
PayZen	36
	1

Note 6 - Partners' Capital

As of June 30, 2024 the net capital contribution to the Fund is $9,595, representing net utilization of 15%.

Note 7 - Credit Line Received

In May 2024, the Fund signed a credit agreement with Valley Bank (the "**Subscription Line**") according to which $ 35,000 were made available to the Fund. Outstanding amounts under the Subscription Line shall bear an interest rate equal to Prime rate minus 0.5% and no less than 5.5%. The Fund intends to use this line of credit to bridge capital calls from investors and to provide collateral to Valley Bank against negative fair value of financial derivatives (if any).

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